

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

I declare this is my own work.

GCSE

ECONOMICS

Paper 1 How Markets Work

Predicted Paper **Advanced** **Time allowed: 1 hour 45 minutes**

Materials

You will need no other materials.

You may use a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

For Examiner's Use	
Section	Mark
A	
B	
TOTAL	

Section A

Answer all questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.
For each question, completely fill in the circle alongside the appropriate answer.

01 The study of **economics** primarily concerns

[1 mark]

- A how governments set tax rates. ☐
- B how scarce resources are allocated to satisfy unlimited wants. ☐
- C how firms maximise short-run profit. ☐
- D how prices are set by the government. ☐

02 An inventor uses their savings to set up a software company, hire programmers and lease office space. Which factor of production is most directly represented by the inventor's decision to set up the company and bear the risk?

[1 mark]

- A Capital ☐
- B Enterprise ☐
- C Labour ☐
- D Land ☐

03 A worker can earn £24 000 in a full-time job or £11 000 working part-time while completing a university degree. If the university degree costs £9 250 per year, the **opportunity cost** of studying full-time for one year is approximately

[1 mark]

- A £9 250. ☐
- B £11 000. ☐
- C £24 000. ☐
- D £33 250. ☐

04 Which of the following is most likely to be a **disadvantage** of specialisation for **workers**?

[1 mark]

- A Lower wages due to a lack of skills ☐
- B Reduced output per worker ☐
- C Boredom and dissatisfaction from repetitive tasks ☐
- D Higher costs of production for firms ☐

05 Table 1 shows the value of output in selected industries in an economy in year X.

Table 1

Industry	Value of output (£ bn)
Agriculture	12.4
Mining	8.6
Manufacturing	54.2
Construction	28.9
Retail	46.8
Professional services	73.7

Using **Table 1**, what is the value of output in the **secondary** sector in year X?

[1 mark]

- A £21.0 bn ☐
- B £54.2 bn ☐
- C £83.1 bn ☐
- D £120.5 bn ☐

06 A worker's gross monthly pay is £2 800. Deductions include £420 income tax and £224 National Insurance. What is the worker's net pay as a percentage of their gross pay, to the nearest whole %?

[1 mark]

- A 15% ☐
- B 23% ☐
- C 69% ☐
- D 77% ☐

07 Which of the following is most likely to describe a firm that is acting in **both** a profit-seeking **and** ethically responsible manner?

[1 mark]

- A The firm lowers its costs by paying workers below the minimum wage. ☐
- B The firm invests in more efficient machinery that also reduces pollution. ☐
- C The firm uses international tax loopholes to reduce its tax bill. ☐
- D The firm engages in misleading advertising to boost sales. ☐

- 08** Goods X and Y are strong complements. The price of good X **rises**. Which of the following is most likely to happen in the market for good Y?

[1 mark]

- A The equilibrium price and quantity of Y both rise. ☐
- B The equilibrium price of Y falls and the equilibrium quantity of Y rises. ☐
- C The equilibrium price and quantity of Y both fall. ☐
- D The equilibrium price of Y rises and the equilibrium quantity of Y falls. ☐

- 09** Which combination of features most accurately describes an **oligopolistic** market?

Firm	Market share of top firms	Barriers to entry	Use of non-price competition
A	Low	Low	Low
B	Low	High	High
C	High	Low	Low
D	High	High	High

[1 mark]

- A Firm A ☐
- B Firm B ☐
- C Firm C ☐
- D Firm D ☐

- 10** A cinema has a price elasticity of demand of -0.8 for its tickets. The cinema increases ticket prices by 20%. What will happen to the cinema's total revenue from ticket sales?

[1 mark]

- A Total revenue will fall by 16%. ☐
- B Total revenue will rise by approximately 4%. ☐
- C Total revenue will stay the same. ☐
- D Total revenue will fall by 25%. ☐

1 1

State **two** forms of **non-price** competition that firms may use.

[2 marks]

1

2

1 2

Explain **one** possible impact of a highly competitive market on the **efficiency** of firms.

[2 marks]

1 3

Explain why the foreign exchange (**forex**) market is an example of a market.

[2 marks]

**1
4
1**

The following data relate to a software firm that sold 1 200 annual subscriptions last year.

- Total revenue: £108 000
- Total fixed costs: £28 000
- Average variable cost per subscription: £24

Calculate the firm's **profit margin** (profit as a percentage of total revenue) to the nearest whole %.

[2 marks]

Profit margin = _____

1
4
2

Explain **one** way the software firm could increase its **profit margin**.

[2 marks]

Figure 1 – Rising input costs in UK manufacturing

In 2022–23, UK manufacturing firms experienced significant increases in the prices of imported raw materials and components, partly due to a weaker pound and partly due to ongoing global supply-chain disruption. This led to concern that UK manufacturers would face reduced margins, loss of competitiveness or the need to pass costs on to consumers.

Input	Annual price increase (%) year to Q4 2022
Imported steel	32
Imported semiconductors	48
Industrial electricity	86
Industrial natural gas	141

Analyse the possible impact of rising input costs such as those shown in **Figure 1** upon UK manufacturing firms and the markets in which they operate.

[6 marks]

[illegible]

1 **6**

State **two** possible **barriers to entry** that firms in an industry might face.

[2 marks]

Barrier

1

Barrier

2

1 **7**

Explain **one** possible reason why investment bankers in the City of London tend to earn significantly more than secondary school teachers.

[2 marks]

1 **8**

Explain **one** possible reason why the demand for a life-saving prescription drug such as insulin is likely to be price **inelastic**.

[2 marks]

1
9
1

Table 3 shows data relating to the workforce of Ansel's Analytics, a data-analysis firm that faces strong competition.

Table 3

Number of analysts	Reports completed per month
14	203

Using **Table 3**, calculate the monthly productivity of an analyst at Ansel's Analytics.

Give your answer to **one decimal place**.

[2 marks]

Reports per analyst per month = _____

1
9
2

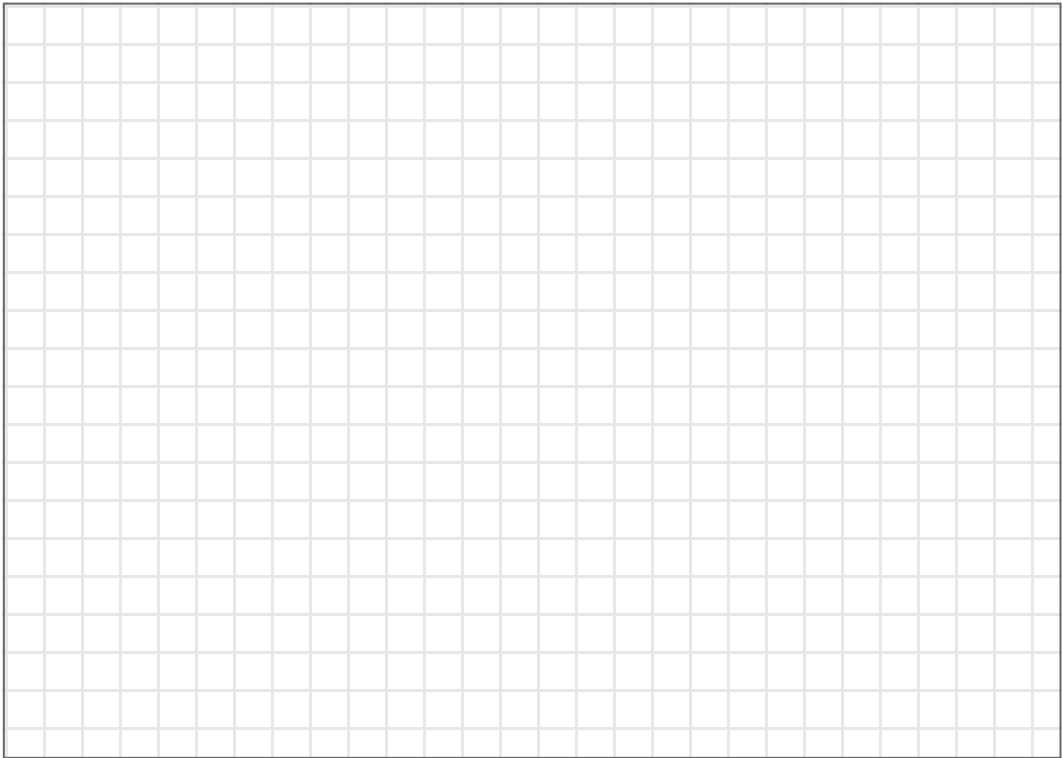
Explain **one** benefit of increased labour productivity to a business such as Ansel's Analytics.

[2 marks]

20

Draw and label demand and supply curves on the graph below from the following table of information. Clearly identify the equilibrium price and quantity.

Price (£)	Quantity demanded (units)	Quantity supplied (units)
10	50	10
20	40	20
30	30	30
40	20	40
50	10	50



[3 marks]

Figure 2 – TechCo Solutions

TechCo Solutions is a UK-based cloud software business founded in 2015. The business has grown rapidly, expanding from 8 engineers at a single office to 260 staff across four international offices. TechCo has invested heavily in specialist servers, automated testing systems and a dedicated research-and-development team. Senior managers now report, however, that meetings have become longer and less productive, decision-making has slowed, and it is increasingly difficult to maintain a consistent company culture across the four sites. TechCo's total costs at different levels of output are shown in **Table 4**.

Table 4 – Output and cost data for TechCo Solutions

Software licences sold per year	Total costs (£ 000s)
5 000	1 250
10 000	2 100
20 000	3 600
30 000	6 900
40 000	11 200

Using **Figure 2** and **Table 4**, assess whether the benefits of growth for a business such as TechCo Solutions continue to exceed the costs as it becomes very large.

[9 marks]

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Section B

Answer all questions in the spaces provided.

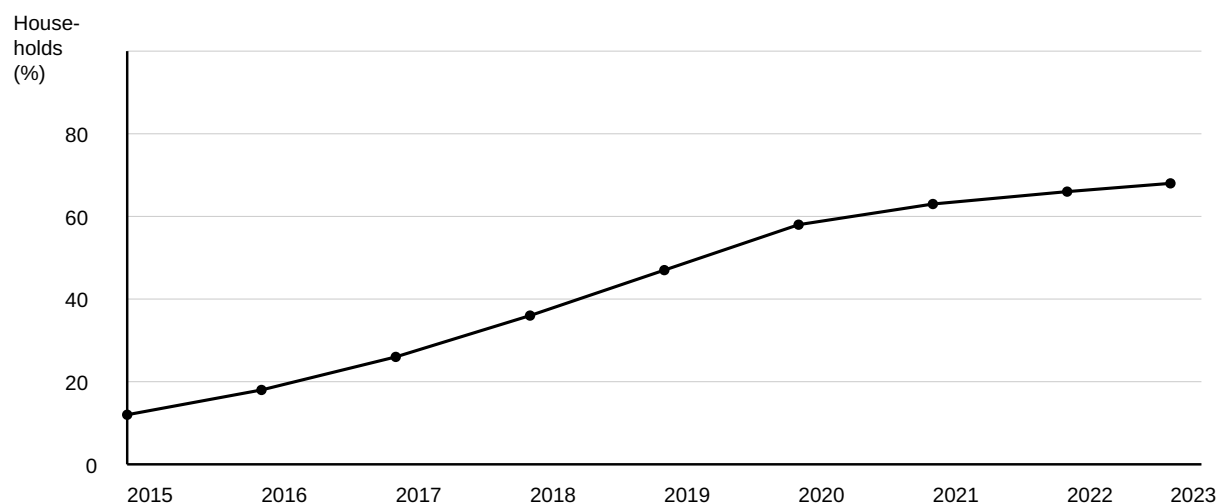
Item A – The UK video streaming market

The UK video streaming market has been transformed over the past decade. In 2013, only around 4% of UK households subscribed to a video streaming service. By 2023, that figure had risen to more than 68% of UK households. A small number of large global firms — including Netflix, Amazon Prime Video and Disney+ — now account for a large majority of all paid subscriptions. Smaller providers struggle to compete against the budgets of these large firms for original content.

Between 2020 and 2023, the major streaming platforms increased their monthly subscription prices several times. The average price of a standard Netflix subscription in the UK rose from £8.99 to £10.99 over this period. In 2023, Netflix, Disney+ and Amazon all began introducing new "ad-supported" tiers and restrictions on password sharing. **Figure 3** shows UK household streaming subscription penetration from 2015 to 2023.

Economists argue that this market displays the classic features of an oligopoly: a small number of large firms, high barriers to entry (particularly the cost of producing original content), high levels of non-price competition through branding and exclusive shows, and the ability of firms to raise prices without losing many customers. Some economists argue that this market represents a case of market failure, because the dominant firms can earn significant producer surplus at the expense of consumers.

Figure 3 – UK household video-streaming subscription rate, 2015–2023 (%)



Item B – Possible methods of regulating the UK streaming market

Concerns about the market power of the major streaming firms have led to a debate about whether the UK government should intervene. Options under discussion include: capping annual price increases; breaking up the largest firms; imposing quotas to ensure a minimum percentage of British-made content; supporting new UK-based streaming platforms through subsidies or tax breaks; and requiring streaming firms to contribute directly to the financing of UK public-service broadcasters such as the BBC and Channel 4.

Supporters of intervention argue that without regulation, consumers will continue to face rising prices and a narrowing of choice, particularly as UK content production becomes increasingly dependent on the priorities of a small number of US-owned companies. They point to the large producer surplus enjoyed by the dominant firms as evidence of market failure.

Critics argue that the streaming market is still highly dynamic and that regulation risks deterring investment in new UK content. They argue that consumer power remains strong, because subscriptions can easily be cancelled and alternative services are available. Subsidies for smaller UK platforms would create an opportunity cost for the government, diverting resources away from areas such as the NHS, schools or defence. They also warn that price caps could reduce the quality of content produced.

2 2

Define the term '**oligopoly**'.

[2 marks]

23

Using **Figure 3**, on the previous page, calculate the percentage change in the UK household video-streaming subscription rate between **2015** and **2023**.

Give your answer to the nearest whole %.

[3 marks]

Answer = _____

24

Analyse the possible **positive** externalities that may result from the widespread availability of affordable video-streaming services.

[6 marks]

25

Explain **two** possible disadvantages, for consumers, of the UK video-streaming market being dominated by a small number of large firms.

[6 marks]

Disadvantage

1

Disadvantage

2

26

The UK government may use several methods to reduce the market power of large streaming firms. Do you think the UK government should actively regulate the UK streaming market — for example, by capping prices, imposing UK content quotas and subsidising smaller UK-based platforms?

Use **Items A** and **B** and your own economic knowledge to justify your view.

[15 marks]

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END OF QUESTIONS